D 152 | Diligence as an evidence chain

PRIVATE FICTIONAL Indian B 2 B AI workflow vendor. Pipeline in INR crore; monthly economics in INR lakh. No named company, code inspection, legal clearance, security test, account or spend.

Original pipeline	40 crore qualified pipeline * stipulated comparable 25% close conversion = 10 crore weighted pipeline. This is not signed bookings, revenue, ARR, cash or a guarantee. Conversion comparability, horizon, stage definitions and completeness are assumptions, not proven by multiplication.
Separate stage mix	Independent toy: stage A 20 crore at .1 and stage B 20 at .4 = 10 crore weighted, same baseline aggregate. Change stage mix to 30/10 and weighted falls to 7 despite unchanged 40 total. The aggregate .25 is not a universal factor to carry into a new mix.
Monthly economics	Revenue 60 lakh, API variable cost 12, other variable 18: total variable 30, contribution 30 and margin .5 before fixed costs. API factor 2 changes API to 24, variable to 42, contribution to 18 and margin .3. Not current vendor prices or evidence that usage and revenue stay fixed.
Separate fixed-cost toy	Additional explicitly supplied fixed cost 15 lakh, not in the original case. Operating remainder 15 baseline and 3 at API factor 2. API factor 2.25 reaches zero at unchanged revenue/other variable/fixed costs. Factor 3 loses 9. No investment or hiring decision follows.
Do not mix scales	Pipeline crore versus monthly lakh, different periods and meanings. No unsupported conversion from weighted pipeline to monthly recognized revenue. No claim a certificate, stage label, architecture fashion or third-party model dependency settles diligence.
Evidence before action	Three one-page draft notes keep claim, artifact/scope/date, contradiction, conditional impact and next check separate. Actual evidence/permission/accepted-owner table blank. No data-room upload, private source request, code execution, supplier contact, contract correction or actual verdict.

Inputs | Independent pipeline and cost families

Crore for pipeline; lakh per month for cost. Fractions in [0, 1]. Costs nonnegative; loss-making contributions allowed.

Original pipeline crore	40.00
Original stipulated comparable conversion fraction	0.25

Separate stage A pipeline crore	20.00
Separate stage A conversion fraction	0.10
Separate stage B pipeline crore	20.00
Separate stage B conversion fraction	0.40

Monthly revenue lakh	60.00
Baseline monthly API variable cost lakh	12.00
Other monthly variable cost lakh	18.00
Scenario API cost multiplier	2.00
Separate fixed-cost assumption lakh	15.00

Original pipeline numeric gate	1.000000
Stage mix numeric gate	1.000000
Monthly cost numeric gate	1.000000

Zero totals leave ratios undefined. Multiplier zero is a zero-cost scenario, not evidence of free service. Numeric gates do not validate conversion, cost completeness, billing terms, architecture, rights, regulatory compliance or authority.

Pipeline | Same aggregate, different assumptions

Conditional fictional arithmetic only. See units and family gates on Inputs.

Original weighted pipeline crore	10.000000
Original unweighted remainder crore	30.000000

Baseline 10 weighted and 30 remainder. The remainder is arithmetic complement, not a forecast of losses or signed no-deals. A probability-weighted amount does not establish outcome variance, independence, timing or recognized accounting revenue.

Stage mix | Recompute weights after mix changes

Conditional fictional arithmetic only. See units and family gates on Inputs.

Stage A weighted crore	2.000000
Stage B weighted crore	8.000000
Total unweighted crore	40.000000
Stage-weighted total crore	10.000000
Implied weighted conversion fraction	0.250000
Stage A share of unweighted pipeline	0.500000

Baseline 2+8=10 from total 40 and implied .25. Stage mix 30/10 gives 3+4=7, implied .175. That comparison is a scenario, not calibrated probabilities or new evidence. Shared customers/correlation do not change linear expectation if correct marginal probabilities, but affect outcome uncertainty; no independence or variance estimate assumed.

Contribution | Before fixed costs

Conditional fictional arithmetic only. See units and family gates on Inputs.

Baseline total variable lakh	30.000000
Baseline contribution lakh	30.000000
Baseline contribution fraction	0.500000
Scenario API cost lakh	24.000000
Scenario total variable lakh	42.000000
Scenario contribution lakh	18.000000
Scenario contribution fraction	0.300000
Contribution change lakh	-12.000000
Margin change, percentage points	-20.000000

Baseline variable 30/contribution 30/margin.5; factor 2 gives API 24/variable 42/contribution 18/margin.3/change-12 and-20 percentage points, not-20 percent relative. Formula label contribution does not establish statutory gross margin, EBITDA, net profit, cash flow or complete costs.

Fixed cost | Separate scenario

Conditional fictional arithmetic only. See units and family gates on Inputs.

Baseline operating remainder lakh	15.000000
Scenario operating remainder lakh	3.000000
API cost room at zero remainder lakh	27.000000
API multiplier at zero remainder	2.250000
Revenue needed at fixed scenario costs lakh	57.000000

Baseline 15/scenario 3/APIroom 27/multiplier 2.25/revenue 57. A negative multiplier threshold means no nonnegative API cost factor reaches break-even under those fixed inputs; it is not operationally achievable. If baseline API cost is zero, multiplier threshold undefined. Costs held constant at changed revenue, not a sales-volume CVP forecast.

Commercial note | Draft evidence request, not finding

A one-page note for the synthetic vendor. No actual CRM, customer data, pricing survey, sales call or company verdict.

Claim and scope	Claim: pipeline 40 at comparable conversion.25 supports a 10 weighted amount. Need authorized opportunity-level snapshot with dates, stage definitions, amount basis, expected close window and duplicate/customer IDs. Do not upload private records from this lab.
Contradiction and checks	Deck amount may disagree with CRM or contracts. Keep both with timestamps and scope rather than silently selecting the favorable figure. Check aging, censored outcomes, stage movement, duplicate/correlated deals, renewal versus new business, and changes in mix.
Conditional economics	Stage-weighted toy illustrates why aggregate conversion can shift with mix. Signed bookings, service delivery, recognized revenue and cash have distinct evidence. No transform from annual contract pipeline crore to monthly revenue lakh without actual dates, terms and accounting basis.
Next check and owner	Proposed commercial reviewer is not accepted owner. Required scope, authorization, secure channel, minimum fields, review date and decision condition remain unknown until established. A 10 crore weighted amount is not an investment recommendation.
Transfer prompt	Without reopening this sheet, explain why 30/10 stage mix gives 7, while total 40 remains. Explain why correlation matters for uncertainty but linear expectation alone does not require independence. Actual learner response blank.

Technical note | Evidence, controls and cost linkage

Draft only. No code repository access, dependency scan, secret retrieval, load test, vulnerability exploit, supplier call or system change.

Claims and artifacts	Map architecture, data flows, model/API dependencies, permissions, logging/recovery, license/provenance and key-person claims to authorized dated artifacts. A demo is not full-path evidence. Third-party API use changes model claims but does not erase every workflow, data-rights or distribution advantage.
Conditional cost impact	API factor 2 holds revenue and other costs fixed by assumption, not measured elasticity. Verify token/use mix, caching, retries, discounts, rate limits, minimums, provider terms and variable-cost completeness if later authorized. No live pricing or supplier eligibility asserted.
Control evidence	CISA tool describes Yes/No/Partial/N/A supplier responses and supporting documentation; self-report is not independent proof. Ask applicability and evidence scope, not only checkbox counts. Its US federal context is not Indian compliance law or a universal startup certification requirement.
Findings, not fashion	Seed stage does not excuse critical risk. SOC 2 absence alone is not automatic fail; certificate alone not automatic safety. Neither microservices, daily deploys, 90%coverage, nor a 10-times-load slogan is a universal threshold. Missing controls need evidence-based impact/condition, not arbitrary measured probabilities.
Transfer prompt	At API factor 3 contribution 6 and separate operating remainder-9. State which assumptions stayed fixed and which evidence could invalidate this sensitivity. Key-person backup must be demonstrated, not inferred from headcount. Learner answer blank.

Legal note | Preserve history and scope

Issue map only. Not legal advice, Indian-law clearance, ownership certification, contract review, litigation search, filing or remediation.

IP chain	Missing contractor assignment is a potential rights gap; read actual agreements, contributor scope, governing law and provenance with authorized counsel. Payment or a work-for-hire label alone does not settle every jurisdiction. Never backdate, manufacture approvals or substitute historical records.
Customer continuity	Assignment, merger/change-of-control, notice, consent, termination, exclusivity and minimums need actual wording, transaction structure and law. No automatic termination or transfer verdict. Legal ability to deliver/retain rights can constrain the revenue scenario; do not price that dependency as a known probability.
Jurisdiction boundary	Consilium August 10,2026 article is US-focused. Delaware 204/205 are described as corporate-act/stock remedies, not cures for IP/contract/employment/tax gaps even there. Do not import US copyright, tax, fees or remedies into Indian IP/CCPS/ESOP conclusions.
Conditional remediation	Preserve gap and source history; get appropriate advice; identify valid action if available; keep authority/evidence and accurate required disclosure. A proposed reviewer or action is not an accepted owner, completed cure or permission to disclose documents.
Search limits	MCA/entity search is not complete pending/threatened/foreign litigation coverage. Lending labels do not establish RBI role, contract, loss-allocation or DLG legality. Those current-law questions remain unresolved; no claim of current comprehensive legal search.

Actual plan | Evidence and acceptance remain blank

No invented artifact, source date, counsel finding, accepted reviewer, permission, completed cure or investment decision.

Claim / units	Artifact / date	Scope / access	Contradiction	Dependency / block	Owner accepted	Authority / next

Blank is unknown, not zero, pass, consent or completed diligence. Commercial, technical and legal reviewers proposed only. No actual data room, private retrieval, contact, code execution, security test, contract edit, account, investment or spending.

Evidence | Selected source coverage, not clearance

Seven URLs/six organizations/three types: practitioner/vendor guidance, government security context, accounting textbook. No independent actual-company validation.

Technical practitioner	https://www.seedforge.com/blog/technical-due-diligence-for-startups | Complete returned written June 16,2026 article read, not images/linked studies. Stage, 10-times-load, coverage, AI-code and investor-behavior claims are guidance/author interpretations, not universal rules or causal proof. Underlying GitClear/Verizon/IBM/BlackDuck/NBER studies not checked; outreach/service offers not used.
Legal and consultancy	https://consilium.law/sparkpoint/startup-fundraising-legal-due-diligence-checklist/ | Complete returned August 10,2026 written article read, not linked statutes/fees/currentIndianlaw independently checked. https://www.nicolascava.com/resources/technical-due-diligence-checklist | Complete returned consultant overview read, not an actual checklist. Advertised prices/track record not independently validated or used.
Government context	https://www.cisa.gov/software-acquisition-guide/tool | Selected opening/response criteria/development/deployment portions read, not all 316 tasks/58 controls, interactive branching, exports or underlying guide. https://www.cisa.gov/news-events/news/cisa-unveils-tool-boost-procurement-software-supply-chain-security | Complete returned August 26,2025 announcement read, not underlying downloads/security-outcome study. No form filled.
Forecasting methods	https://www.salesforce.com/sales/analytics/forecasting-models/ | Selected opening/triangulation/quantitative/qualitative/bookings/territory/consumption portions read, not whole page/images/linked studies. Vendor AI accuracy claims and numerical bookings example not adopted or validated. No CRM/account used.
Accounting terms	https://openstax.org/books/principles-managerial-accounting/pages/3-key-terms | Complete returned key terms read: contribution, ratio, relevant range, sensitivity, break-even. Not whole chapter/book or every statutory accounting definition. Arithmetic scenarios do not estimate behavioral response.
Limits	All financials fictional, actual evidence/accepted-owner table blank. No actual company diligence, trait/outcome/security/legal validation, currentalllaw, full source/AV, nativeExcel/Sheets parity, independent learner/account/field or overall 10 claim. Original objectives/exercise/quiz retained.

Failure log | Arithmetic checks, not diligence outcomes

Authored independent expected calculations and boundary/invalid tests only. No actual learners, company outcomes, security assessment or compliance clearance.

1	PASS: 25 baseline formulas independently recomputed.
2	PASS: 16 changed input sets plus restored baseline.
3	PASS: 20 invalid inputs/500 isolation checks.
4	PASS: 6 broken references/6 checks.
5	PASS: 8 boundaries;zero denominators undefined.
6	PASS: signed negative contributions/remainders retained.
7	PASS: pipeline/cost families and units separate.
8	PASS: actual evidence/consent/accepted-owner rows blank.